GAP-DOWN PLAYBOOK · 1 PAGE · FREE

Read a Big Down Day Without Guessing

A repeatable way to read a sharp gap-down: what level matters, what volume means, and what you write down before you touch anything.

1) THE 4 LEVELS THAT MATTER ON A GAP-DOWN

LEVEL	WHY IT MATTERS	HOW YOU USE IT
Prior close	The anchor. A gap down is only meaningful relative to yesterday.	Price reclaiming prior close = sellers losing control
Gap-day low / prior-week low	Where the move started and where the last group of buyers sits.	Break of the low = continuation pressure, not a bounce
200-day average	The long-term line in the sand. Losing it changes the character of the trend.	Daily close below = regime change, not a dip
VWAP	Where the day's average price sits. Institutions get filled around it.	Above VWAP = buyers in control; below = sellers

Worked on the Oct 30, 2026 semi rout (public market data): SPY 755.72, QQQ 690.49, SMH 522.49, NVDA 204.64, AMD 504.80. At that close NVDA sat ~0.1% above its 200-day (204.38) and SMH ~0.6% above its own (519.50) — while INTC closed 65.76, ~24% *below* its 200-day (86.86). Same "down day," totally different structure. That's why you check the 200-day per ticker, not on the index.

2) THE VOLUME TEST (1 LINE, DO IT BEFORE ANYTHING ELSE)

VOLUME VS 20-DAY AVG	WHAT IT USUALLY MEANS	HOW TO READ IT
< 1.0x	Low participation	Drift, not conviction. Often a rotation day. Size down or stand aside.
1.0x – 1.5x	Normal	Ordinary participation. Wait for a level to actually break.
> 1.8x	Forced / institutional	Real repositioning. Everything else on the page matters more today, not less.

Oct 30 example: SPY 2.06x 20-day average volume, QQQ 2.32x, SMH 1.99x, AMD 2.03x, INTC 4.62x — while IWM printed only 0.97x. A violent, concentrated sector event, not a broad market liquidation.

3) IS IT BROAD OR CONCENTRATED? (THE CHEAPEST READ YOU'LL EVER DO)

Broad risk-off
Large caps, small caps, and cyclicals all down, volume up everywhere, VIX bid. Every long gets hit. Manage risk, expect volatility to stay high.

Concentrated unwind
One theme or one sector gets hit hard while the rest of the index holds up (or a small-cap index barely moves). This is usually a thesis/positioning event in one crowd — not a macro wave.

Use IWM + SPY as the breadth check and VIX as the "how much is priced" gauge. IWM volume under 1.0x while a sector ETF is at 2x = a crowd getting run over, not the whole market.

4) 5 RULES FOR A GAP-DOWN DAY

1. **Never trade the first 15 minutes.** The gap is a price, not a signal. Wait for a level to break or hold.
2. **Check the 200-day per ticker, not on the index.** A sector can fall 7% while sitting on its 200-day, and one name can fall 24% while the index barely blinks.
3. **One level, one trigger, one invalidation.** If you can't name all three before entry, you're reacting, not trading.
4. **Volatility expands stops.** When ATR expands, the same dollar risk needs fewer contracts and a wider (but still predefined) stop. Size from the invalidation line, not from conviction.
5. **No averaging down into a break.** A gap-down that keeps making lows is a different trade than one that holds a level.

5) THE 3-LINE PLAN (WRITE IT BEFORE YOU CLICK)

Line 1 — Trigger: the level that activates the idea (e.g. "reclaim the prior close" or "hold the 200-day")
Line 2 — Target: the next level or the measured move
Line 3 — Invalidation: where you're proven wrong and out
Example — Trigger: SPY reclaims prior close 769.36 · Target: 20-day 770.47 · Invalidation: loses gap-day low 750.36

6) THE WEEKEND CHECK (5 MINUTES, BEFORE MONDAY)

1. Close above or below the 200-day? **2.** Volume > 1.8x 20-day avg? **3.** Broad or concentrated (SPY vs IWM)? **4.** Where is VIX vs its own 20-day average — fear priced or complacent? **5.** Write trigger, target and invalidation for every name before the open.

Want the full system? Get the Whale Trader's Toolkit — it turns this into a daily system: setup dashboard, whale flow tracker, trade journal with P&L and win rate, watchlist with invalidation lines, and a risk calculator. Educational process, not signals.

Educational content only — not financial advice. No performance claims or guarantees. Trading involves risk of loss. All prices and levels shown are historical public market data used as an illustration of the method; they are not recommendations. Always define your invalidation and risk a small, predetermined amount.